

to keep an eye out for new cryptoasset issues that don't quite smell right.

We will go more deeply into specific vetting strategies regarding cryptoassets in later chapters, but two “smell tests” are easy to begin with. First, do a quick Google search for “Is _____ a scam?” If nothing pops up, then check to see if the project's code is open source. This can best be accomplished by searching for, “_____ GitHub,” as most of these projects use GitHub as their platform for collaboration. If nothing pops up with signs of the code on GitHub, then the cryptoasset is likely not open source, which is an immediate red flag that a cryptoasset and investment should be avoided.

MISLEADING INFORMATION FROM ASSET ISSUERS

Ponzi schemes are a particularly perverse form of misleading information from asset issuers. However, sometimes the way in which issuers mislead investors is subtler. As markets mature over time, there is more regulation on what information asset issuers must provide and by whom that information must be verified and audited. With cryptoassets, however, these standards are not yet in place. To get an idea of what havoc misleading asset issuers can create, we'll examine an example from early equities markets.

About 80 years after Tulipmania, in the early 1700s, the first international bull market came to rise.¹⁶ Kick-started by infamous entities such as John Law's Mississippi Company in